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Assessing Tax Incentives for Investment: Case Study of Thailand

PIER Economics of Fiscal Policy Workshop February 2016

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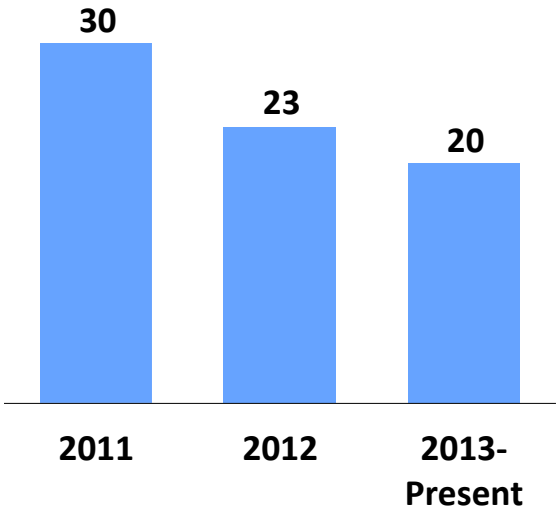
Thailand has introduced several tax incentives to attract international investors

Examples of Incentives Measures

- Activity-based incentive system (replacing zone-based system)
- Special Economic Zones in border provinces
- Investment acceleration measures

Such measures are on top of the statutory tax cut over 2012-2013

Corporate income tax rate (%)



Recently the government is considering a move to extend the tax holiday to 10-15 years for certain industries

Source: FPO, BOI

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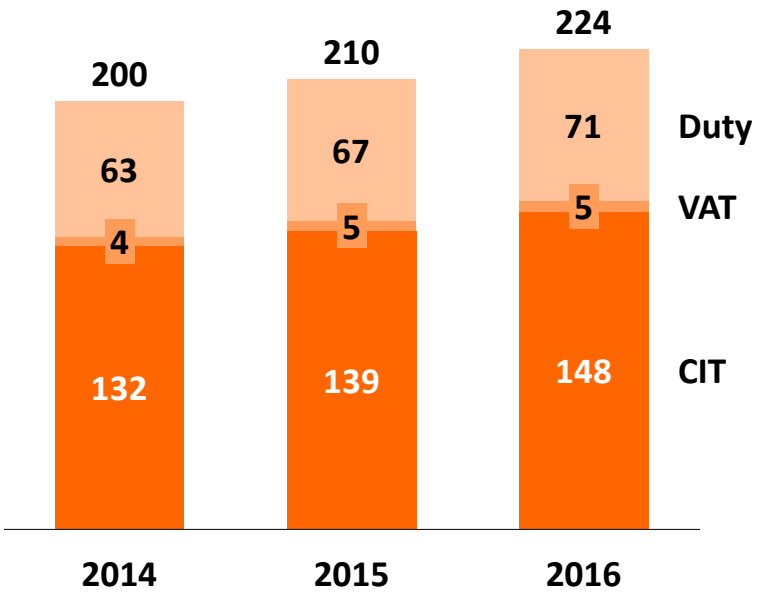
Tax incentives are important but they are costly and cannot compensate for other shortcomings

Thailand's Estimates of tax expenditures associated with the BOI incentives

Unit: Billion baht



Possible Determinants of FDI

- Resource availability
- Infrastructure
- Policy continuity
- Ease of doing business
- Tax incentives

Those tax expenditures represent 1.7% of GDP in 2014 and are slightly smaller than total personal income tax revenue

Note: Thailand's total personal income tax revenue = 237 billion baht in 2014
Source: Budget Bureau, FPO

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It is important to know where Thailand stands in term of the tax competitiveness

Learning where Thailand stands in term of the tax competitiveness

- **Allow us to spend our tax expenditures more efficiently**
- **If sufficiently attractive,**
  - **Refrain from giving more tax breaks** → **Focus on addressing other important weaknesses**

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In practice, the investment incentives in the tax code come in many formats

For policy-making purpose, it is useful to be able to summarize the impact of tax on the ranking of projects in a single measure

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Overview of the Study

Research Questions	Methodologies
1 How does Thailand's tax incentives compete with its ASEAN peers?	▪ Compute Effective Average Tax Rate (EATR) using Devereux and Griffith (2003)'s methodology ▪ Apply that to the context of ASEAN4's tax systems (e.g. tax holiday, tax exemption cap, investment tax allowance) ▪ Takes industry-specific lens by examining the EATR that applies to focused industries: **Auto, Biotec, Electronics, Processed Food, and Tourism**
2 Is there any sign of redundancy in the current incentive system?	

Note: ASEAN4 = Top 4 ASEAN countries, in term of net FDI inflows (excluding Singapore). It consists of Indonesia, Malaysia, Thailand, and Vietnam

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Presentation Outline

1. Introduction

2. Related Studies

3. Conceptual Framework

4. EATR Estimation and Implications

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Literature Review

1 Formulation of Forward-Looking Effective Tax Rates	
Auerbach (1979), King and Fullerton (1984)	Effective marginal tax rate (EMTR), applicable for marginal investment
Devereux and Griffith (2003)	Effective average tax rate (EATR), applicable for an investment project with positive economic profit

2 Computation of EATR for ASEAN	
Klemm (2012)	Extending the DG framework to long-term investment
Botman et al. (2010)	Focus on the Philippines; Max incentives
Abbas and Klemm (2013)	Suggest 'partial' race to bottom; Max incentives
Suzuki (2014)	Find some evidence of tax competition; Typical incentives
Wiedeman and Finke (2015)	Consider max incentives, incentives targeted at regional development and incentives targeted at high-tech activities

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Major contributions of this study

- **1) Takes into account relevant tax provisions adopted by ASEAN**
  - Examples: TH's Tax holiday with exemption cap, MY's Investment Tax Allowance

- **2) Follows World Bank's recommendation by taking industry-specific lens**
  - Previous studies: maximum or broad types of incentives
  - Tax benefits given and investment composition could vary substantially

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How to measure the effect of tax on incentives to invest

	Concept	Advantages	Disadvantages
Backward Looking			
1 **Average Tax Rate**	• Observed tax payments divided by a measure of pre-tax income or profit	• Simple (using firm or macro data) • Suitable for distributional analysis of tax burden	• The rate reflects history of investment • Endogenous
Forward Looking			
2 **Forward-Looking Effective Tax Rates**	• Assuming a hypothetical investment project • Assessing the Net Present Value of an investment project before- and after- taxes	• Allow isolation of cash flows associated with specific new investment projects • Reflect decisions on Investment location or scale	• Computed for specific investment project

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Decision tree on firm's investment decisions

Our Focus

1 **Investment Location Decision**

Relevant tax rate: **EATR**

Firm's Investment Decision

A **B** **C**

2 **Investment Scale Decision Conditional on the Chosen Location**

Relevant tax rate: **Effective Marginal Tax Rate**

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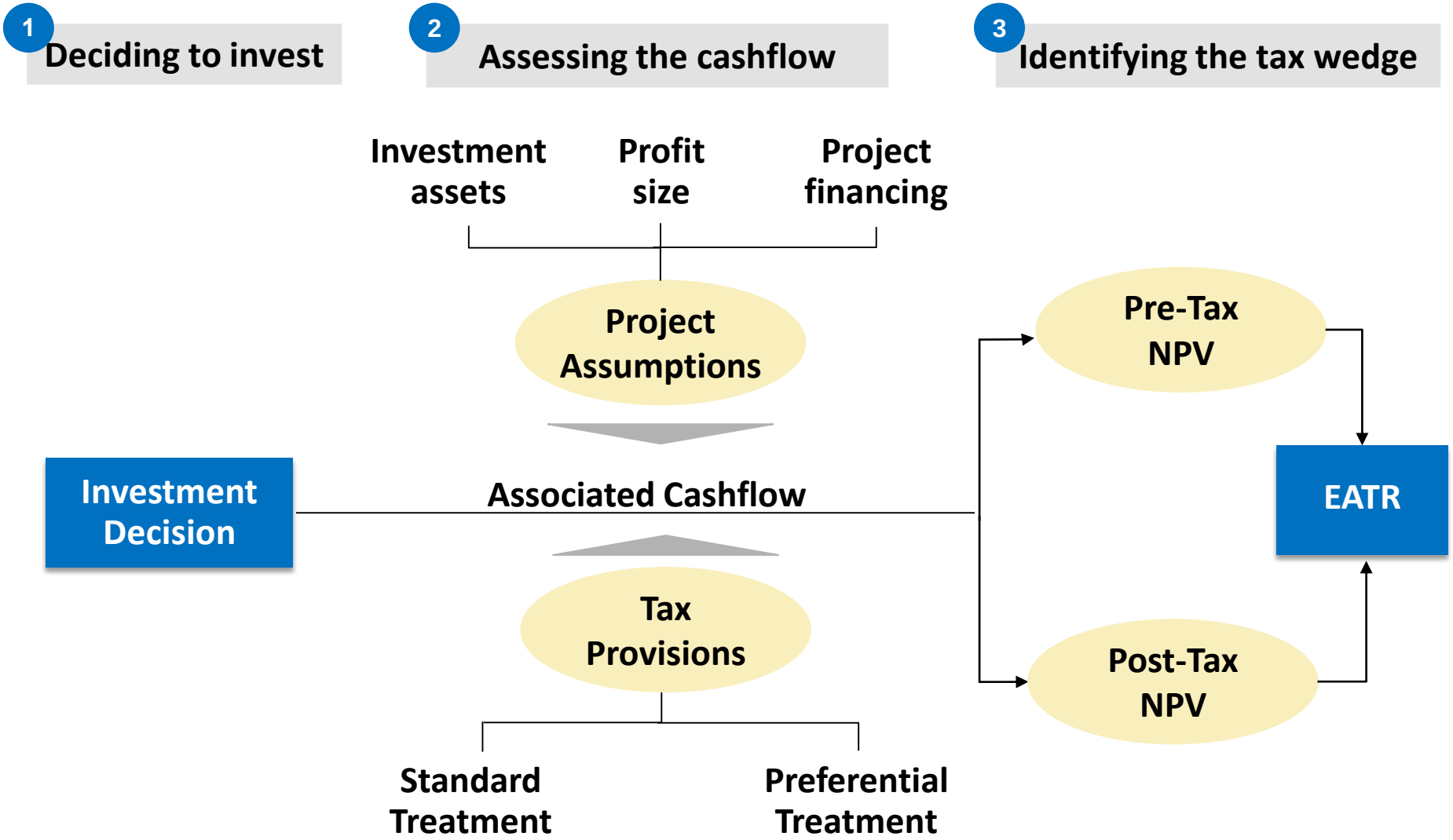
Framework for the Devereux and Griffith Methodology



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Extending the EATR methodology to the ASEAN4 tax context

Assuming long-term investment—the capital stock is disinvested over time through depreciation

1 Standard Tax Treatment

- Standard depreciation practices (Straight line and Declining balance)
- Two investment assets: Machinery and Building
- Assume equity financing

2 ASEAN4 Tax Incentives

- Tax holiday, Post-holiday tax rate reduction — **All countries**
- Tax exemption cap —
- Investment tax allowance
- Initial-year accelerated depreciation —
- Multiple tax rates over the horizon —

Key Assumptions/Calibration

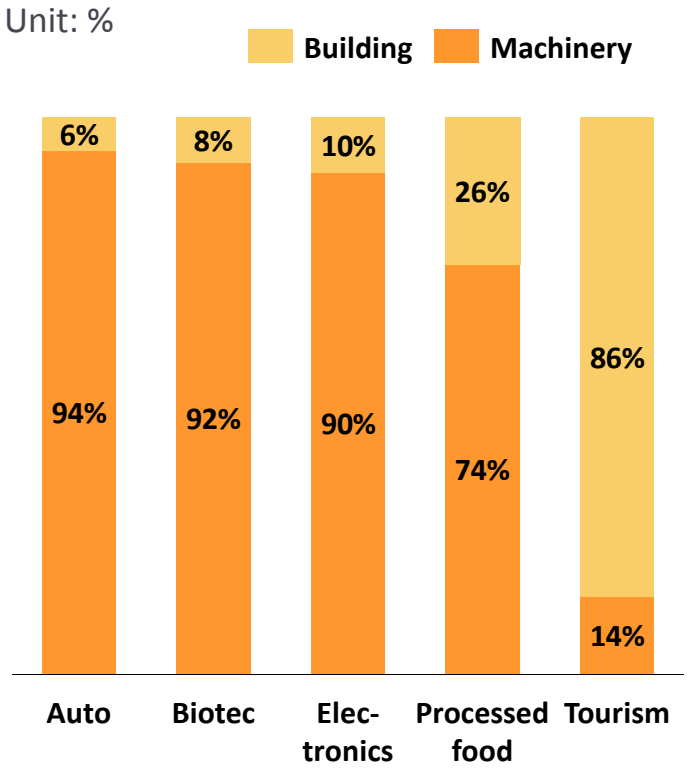
Key Assumptions

- Profit rate = 20%
- Real interest rate = 5%
- Inflation = 2%
- Economic depreciation rates: Machinery = 12.25%, Building = 3.6%

Calibration

- Calibrate industry's investment intensity using Input-Output Table of Thailand (2010)

Share of investment assets by industries



Source: Author's estimate based on NESDB data

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Limitations/Caveats

- Takes into account only taxation at the domestic corporate level
  - The impact of taxes on incentives also depend on personal and international taxation

- Assumes equity financing
  - Debt-financing is likely to yield lower EATR but is unlikely to impact the competitiveness ranking

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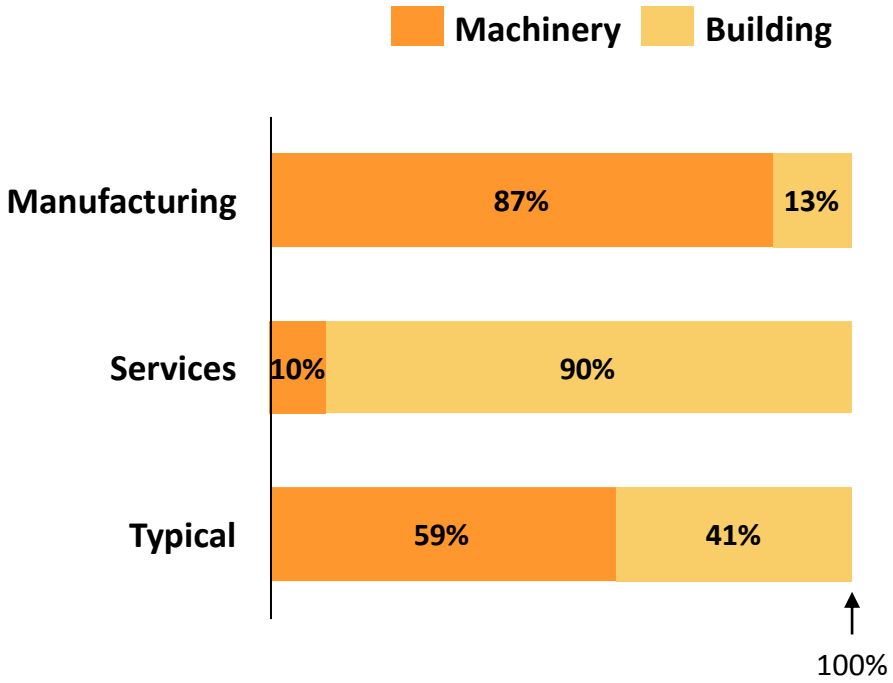
How the standard tax treatment affects investment incentives across industries

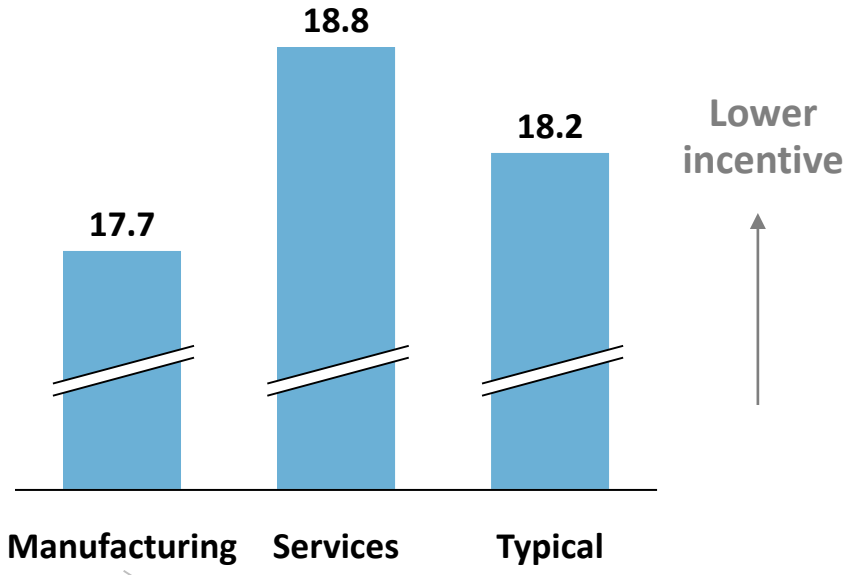
Share of investment assets by industries

Unit: %



Thailand's EATR under standard tax treatment

Unit: %



Manufacturing faces relatively low EATR because of its high reliance on machinery

Source: Author's estimates

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Overview of Standard Tax Treatments across ASEAN4

	Indonesia	Malaysia	Thailand	Vietnam
Statutory Rate	• 25%	• 24%	• 20%	• 20%
Depreciation Allowance	• Building: 5% • Machine: 12.5%	• Building: 3% • Machine: 14%	• Building: 5% • Machine: 20%	• Building: 5% • Machine: 10%
Remarks	• N/A	• Recently cut the tax rate from 25% (2015) • Accelerated depreciation for 1st year: 10% building, 20% machine	• Temporary incentive for 2016: double the depreciation allowance rates	• Recently imposed a series of cuts: 22% (2015) and 25%(2014)

Source: PWC, Deloitte and documents from national tax authorities

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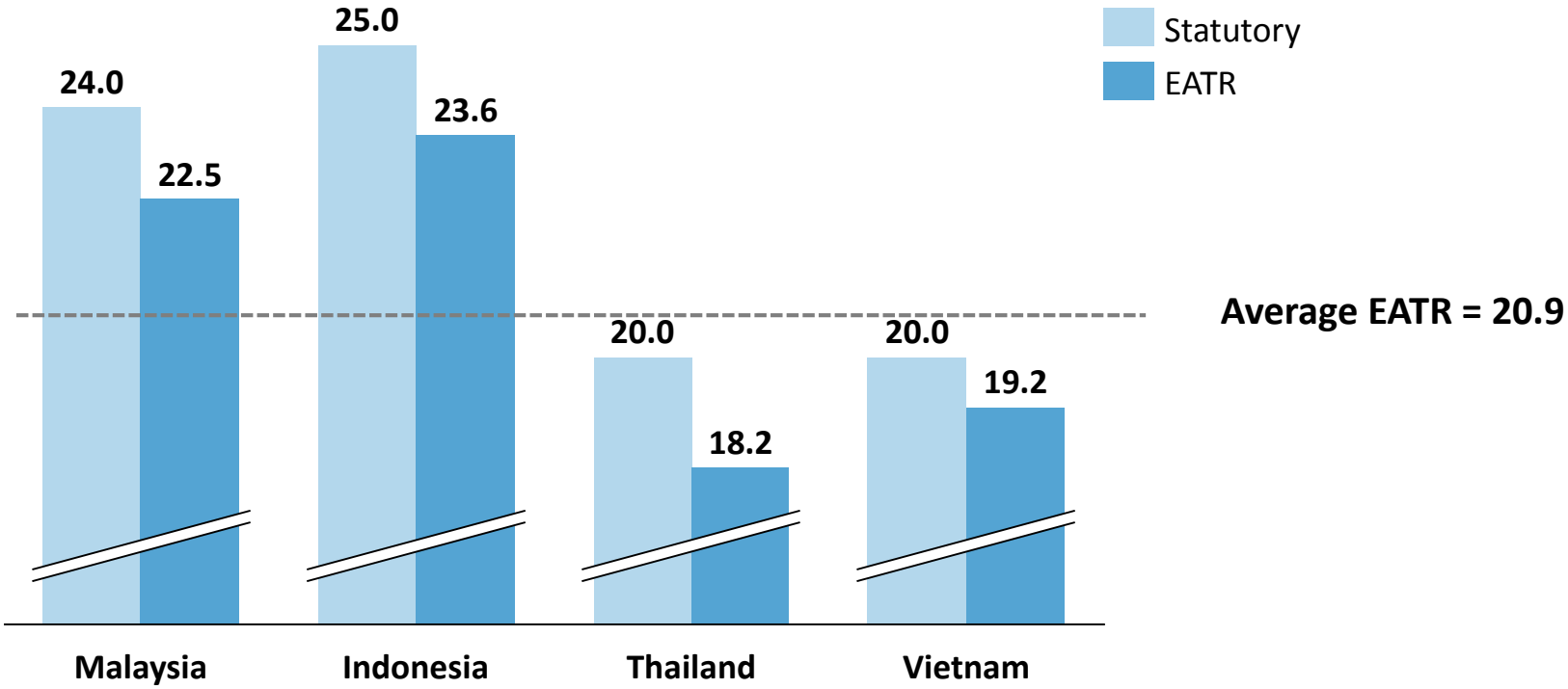
Thailand's standard tax treatment currently is the most competitive among ASEAN4

EATR under standard tax treatment across ASEAN4 (2016; Typical Investment)

Unit: %



Source: Author's estimates

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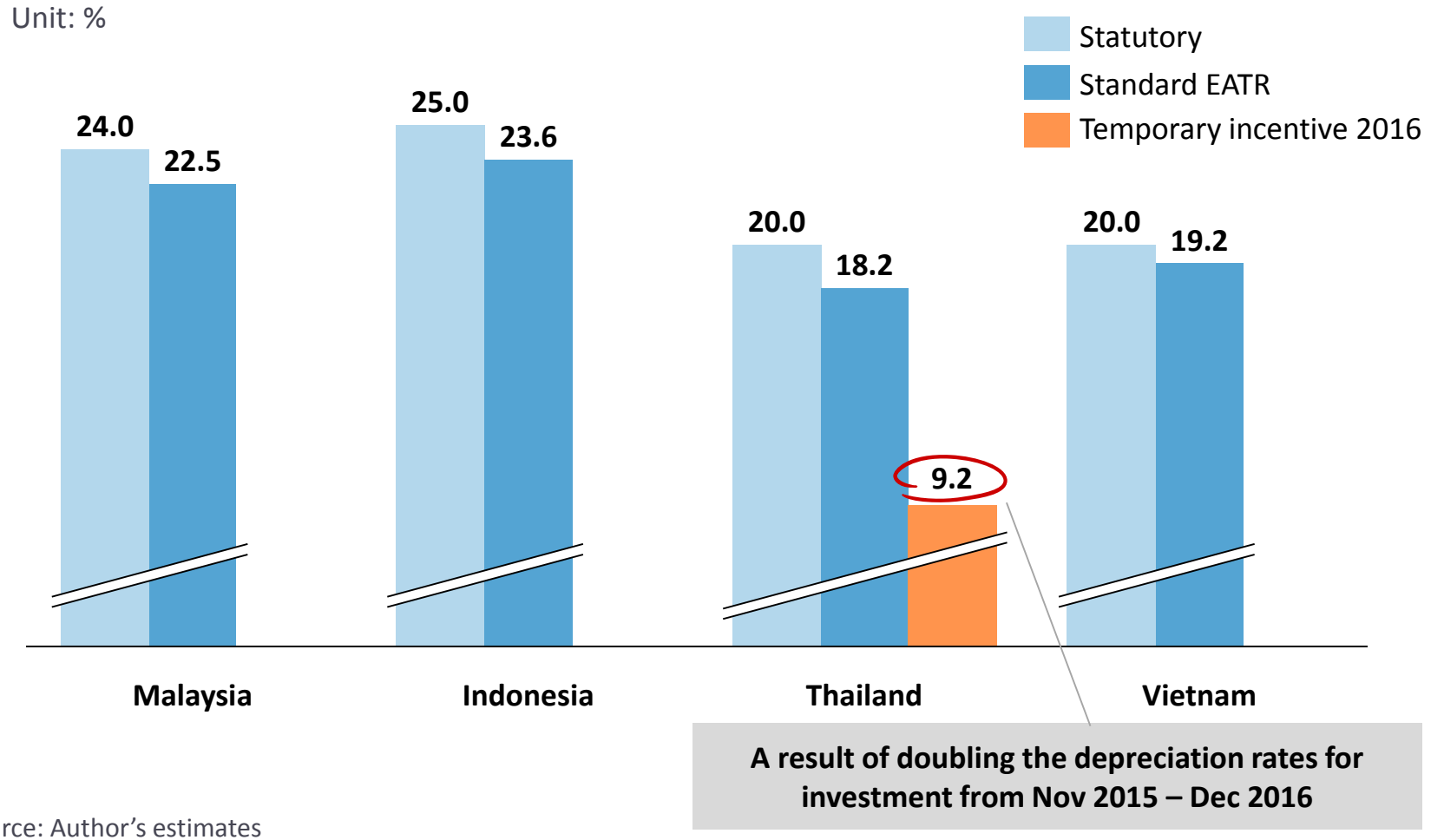
Thailand's temporary incentives for investment in 2016 is very generous

EATR under standard tax treatment across ASEAN4 (2016; Typical Investment)



Source: Author's estimates

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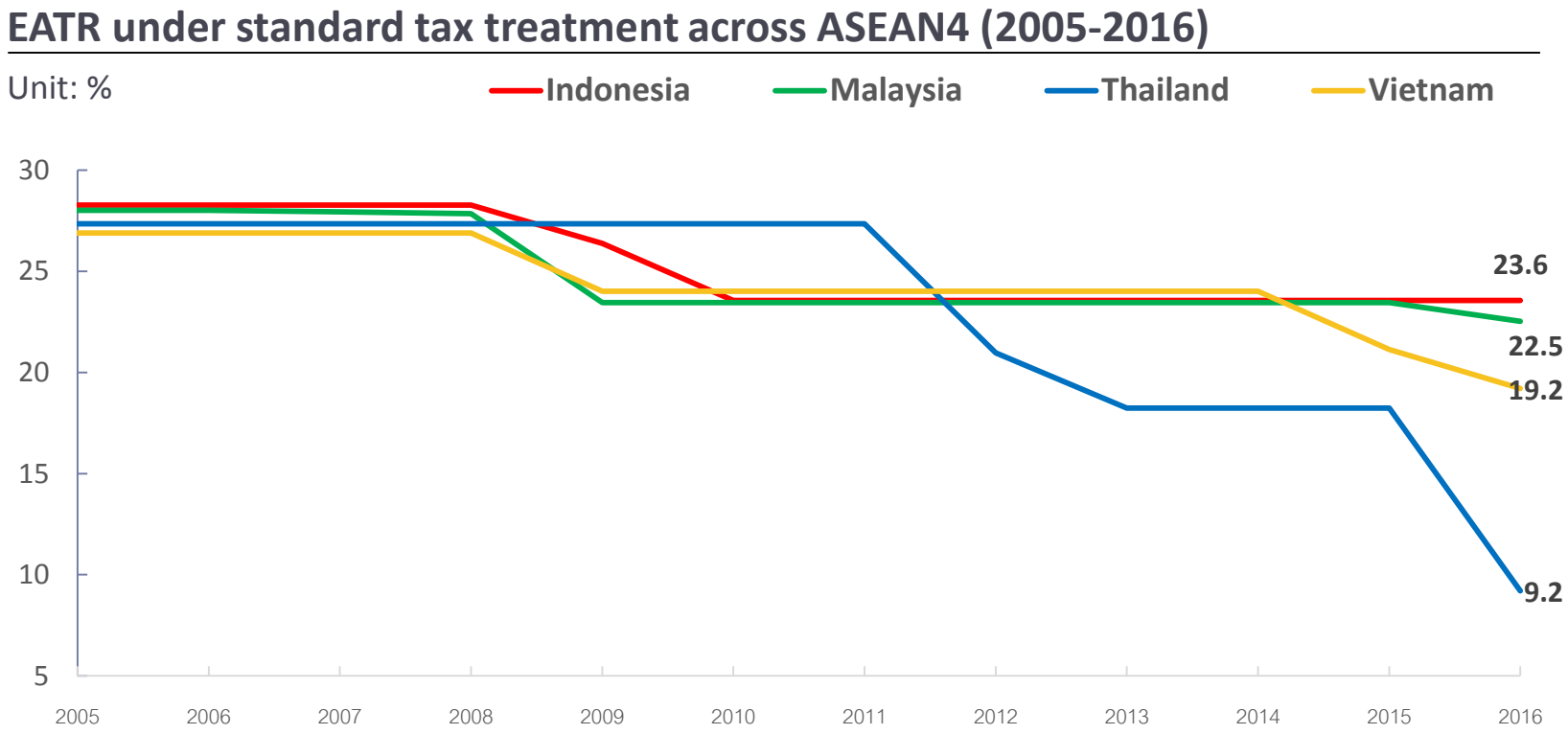
The ASEAN tax development over the previous decade is characterized by rounds of tax cuts



Source: Author's estimates

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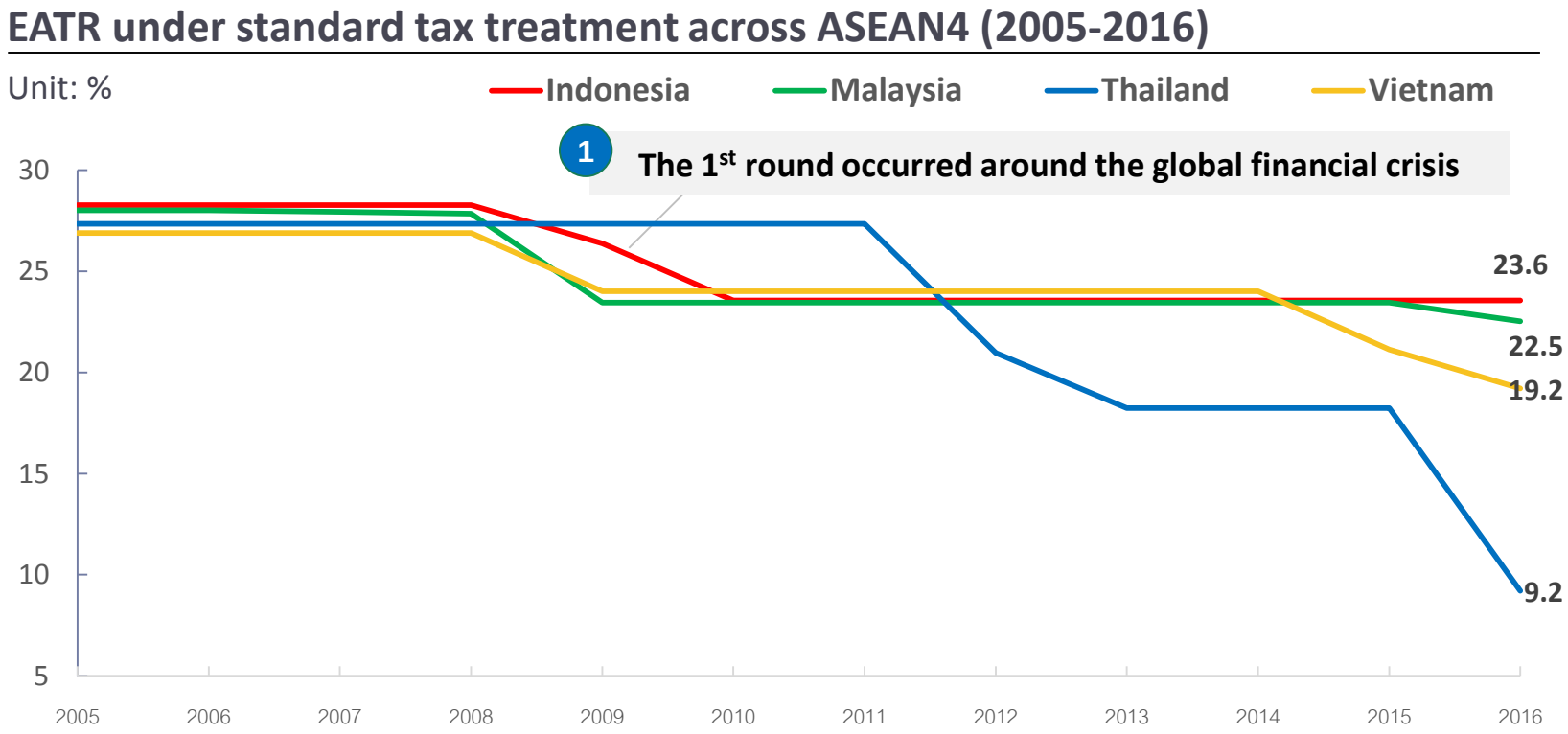

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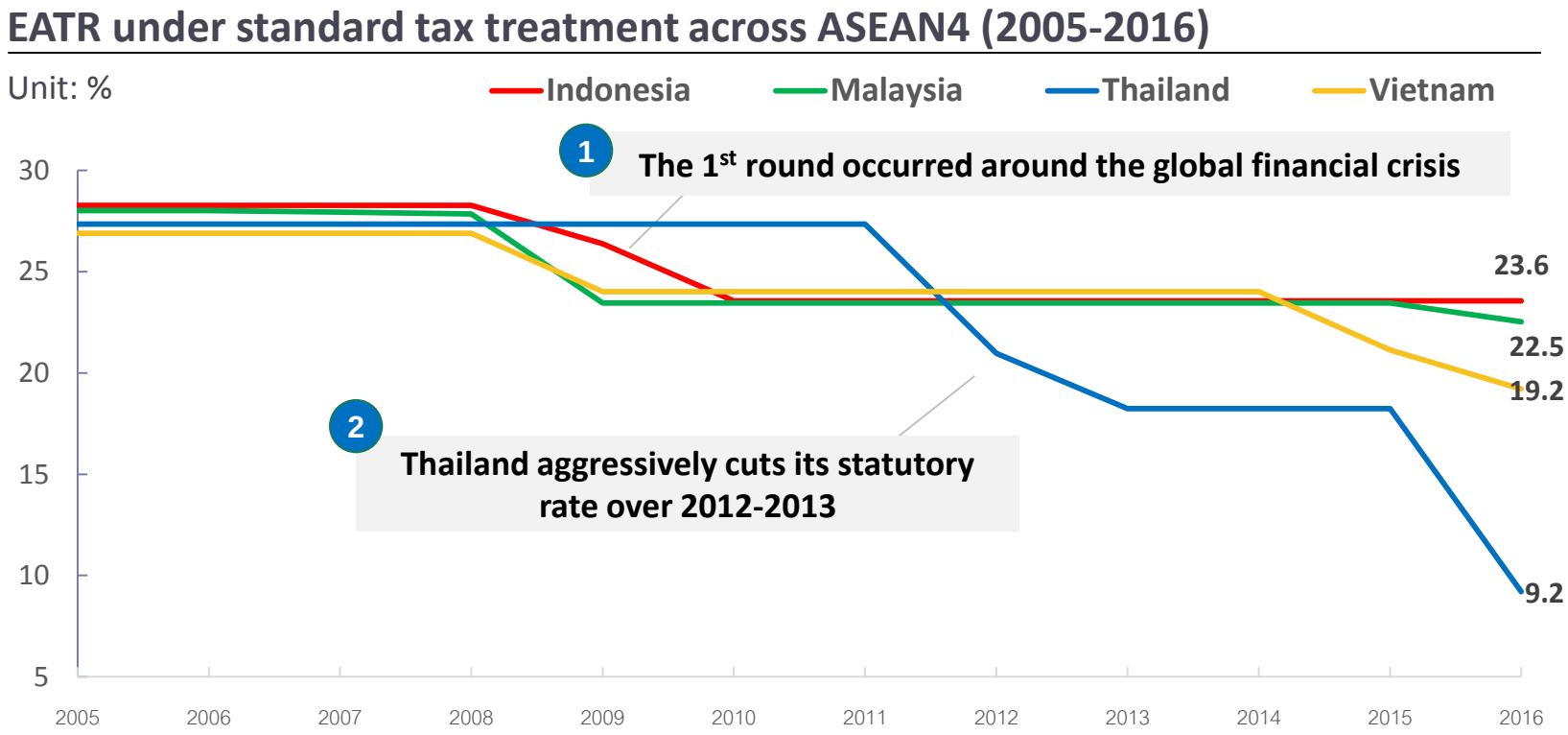

Thailand's rate reduction over 2012-2013 has potentially triggered another round of 'race to the bottom'

Source: Author's estimates

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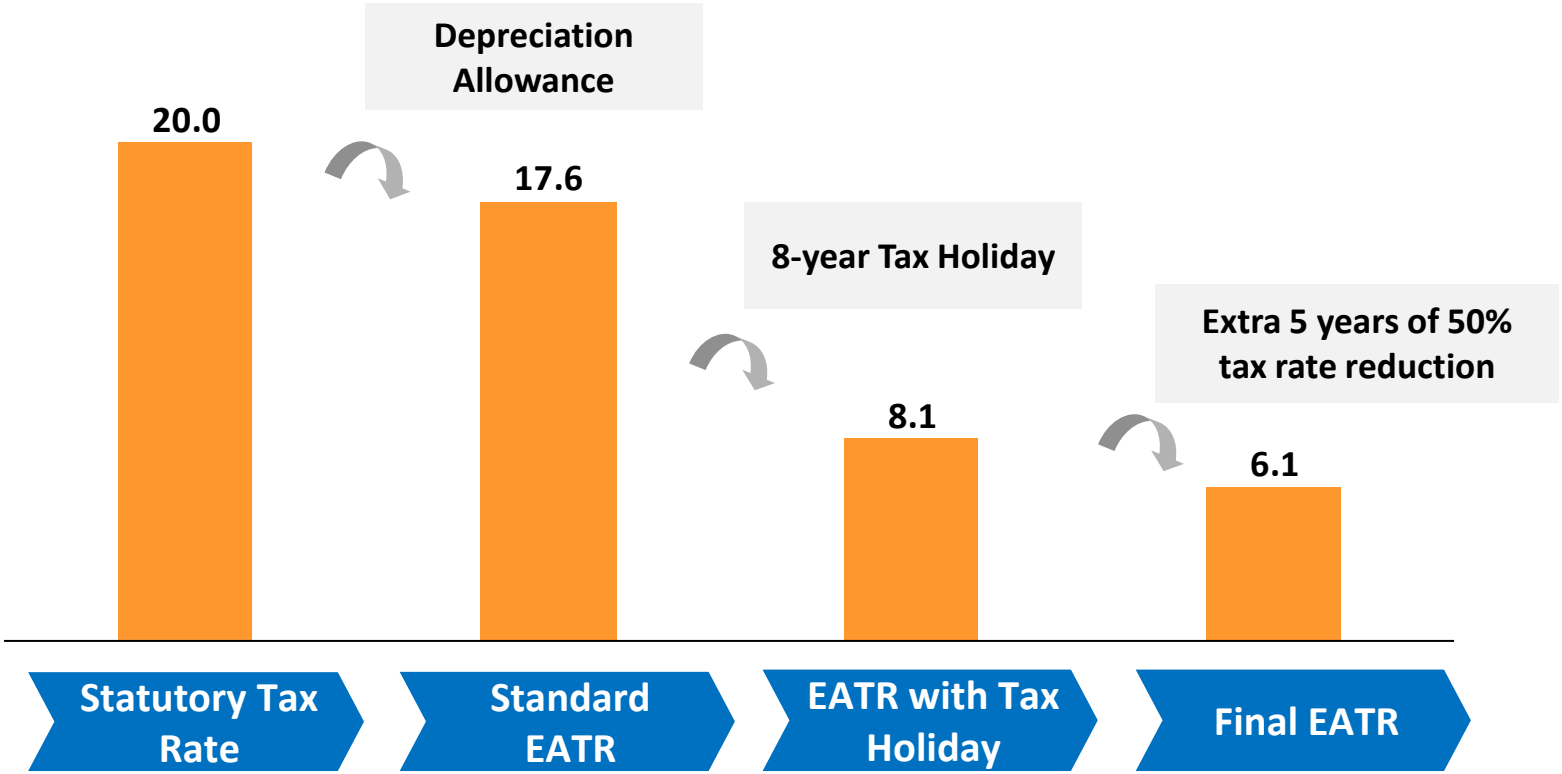
Looking at the standard tax treatment alone does not give complete picture of the tax competitiveness

An example of how tax provisions in the preferential tax regime affect the incentives

Thailand's EATR on Electronics Industry (Max Incentives; 2016)



Source: Author's estimates

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Thailand's maximum tax incentives across focused industries

	Examples of Qualified Activities	Max Incentives
Auto	• High-tech auto parts, ABS, tires • Decentralization merit, SEZ	• 8-year holiday (With cap) • Extra 5 years of 50% rate reduction
Biotec	• Biotec Activities • Need to locate in approved scientific parks	• 8-year holiday (No cap) • Extra 5 years of 50% rate reduction
Electronics	• Electronics design • Decentralization merit, SEZ	• 8-year holiday (With cap) • Extra 5 years of 50% rate reduction
Processed Food	• Medical food and food supplements • Decentralization merit, SEZ	• 8-year holiday (With cap) • Extra 5 years of 50% rate reduction
Tourism	• Recreation park, Conference center, Racing car stadium • Competitiveness, Decentralization merit, SEZ	• 8-year holiday (With cap) • Extra 5 years of 50% rate reduction

Source: BOI

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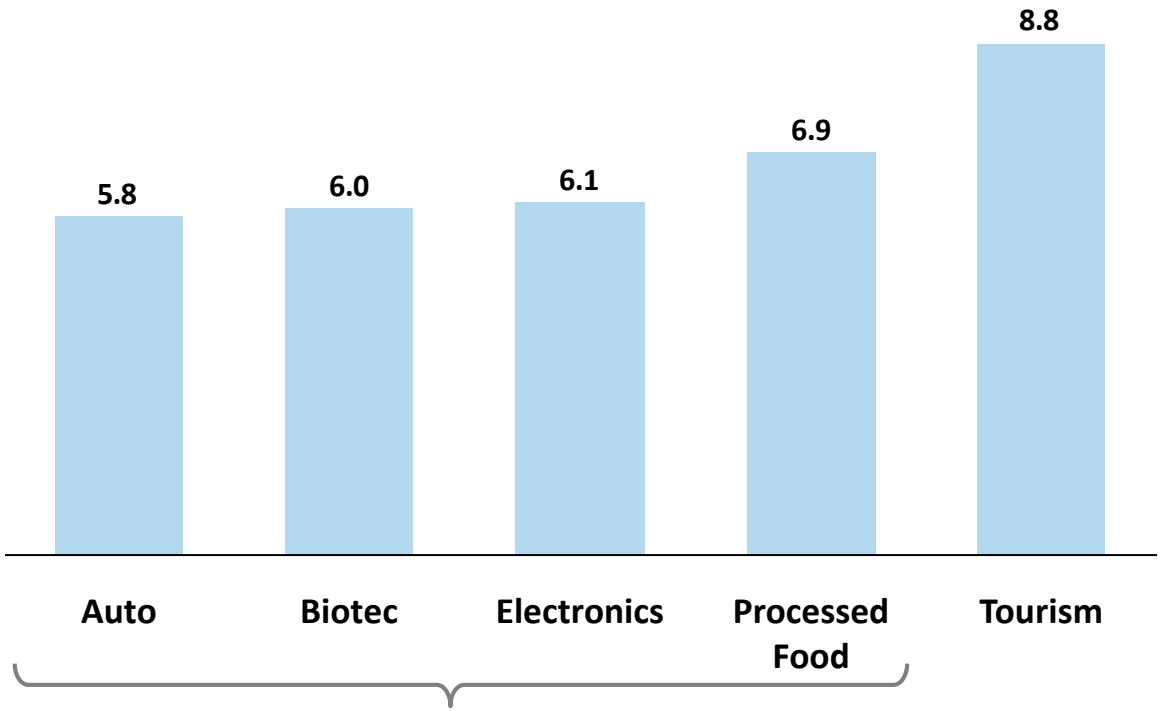
Maximum incentives are pretty close across industries, with the exception of tourism

Thailand's Maximum Incentives on Focused Industries (EATR; 2016)

Unit: %



The low EATRs reflect the industries' relative intensity in machinery

Source: Author's estimates

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Maximum tax incentives by industries across ASEAN4

	Indonesia	Malaysia	Thailand	Vietnam
Auto	• Holiday = 10 • Extra 2 years of 50% CIT rate reduction	• Holiday = 10 • Or 100% ITA	• Holiday = 8 (w/ cap) • Extra 5 years of 50% CIT rate reduction	• Holiday = 4 • Years 5-9: tax 5% • Years 10-30: tax 10%
Biotec	• Holiday = 10 • Extra 2 years of 50% CIT rate reduction	• Holiday = 10 • Or 100% ITA • Extra 10 years of 20% CIT rate	• Holiday = 8 (w/o cap) • Extra 5 years of 50% CIT rate reduction	• Holiday = 4 • Years 5-9: tax 5% • Years 10-30: tax 10%
Electronics	• Holiday = 10 • Extra 2 years of 50% CIT rate reduction	• Holiday = 10 • Or 100% ITA	• Holiday = 8 (w/ cap) • Extra 5 years of 50% CIT rate reduction	• Holiday = 4 • Years 5-9: tax 5% • Years 10-30: tax 10%
Processed Food	• Not Prioritized • Standard treatment applies	• Holiday = 10	• Holiday = 8 (w/ cap) • Extra 5 years of 50% CIT rate reduction	• Not Prioritized • Standard treatment applies
Tourism	• Not Prioritized • Standard treatment applies	• Holiday = 10 • Or 100% ITA	• Holiday = 8 (w/ cap) • Extra 5 years of 50% CIT rate reduction	• Not Prioritized • Standard treatment applies

Source: PWC, Deloitte and documents from national tax authorities

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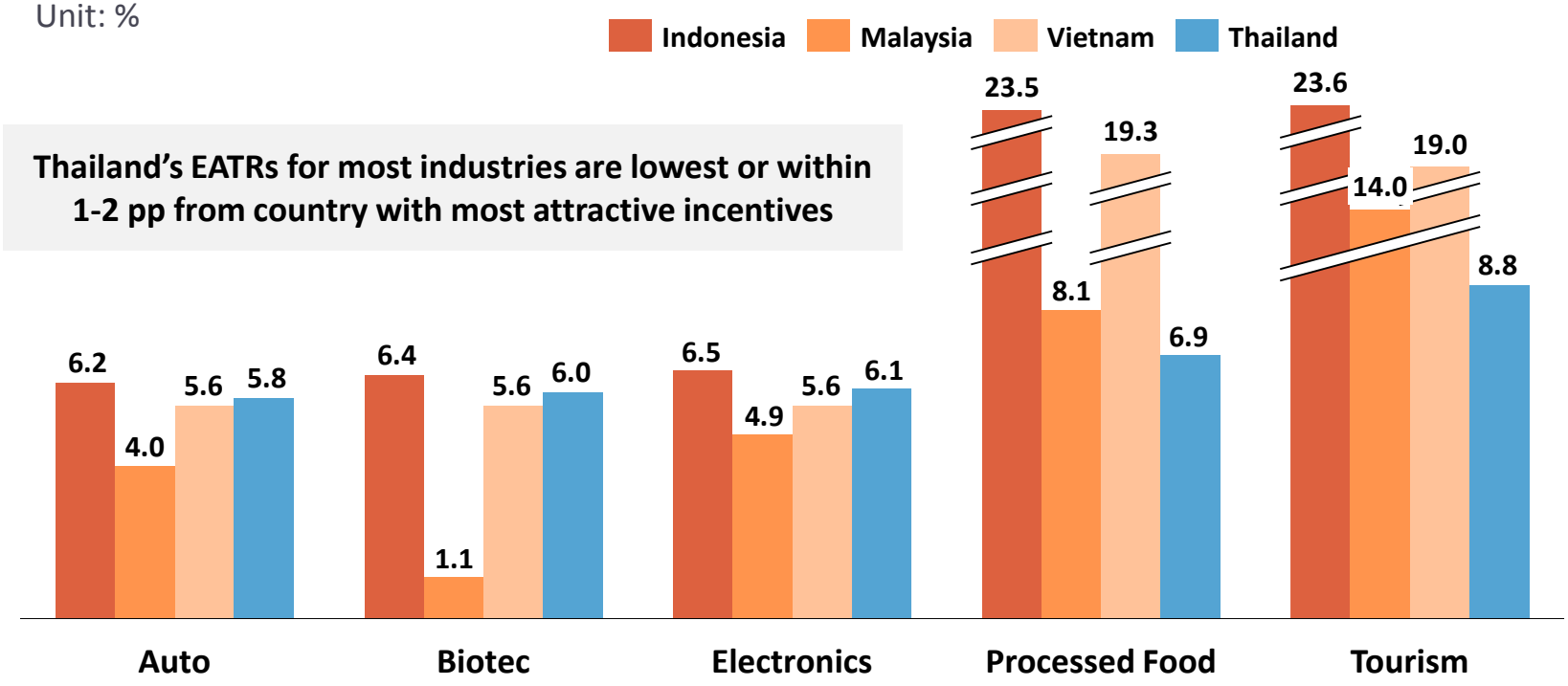
Thailand's max incentives are broadly comparable to ASEAN peers in most industries

Maximum tax incentives Across ASEAN4 (EATR; 2016)

Unit: %



Source: Author's estimates

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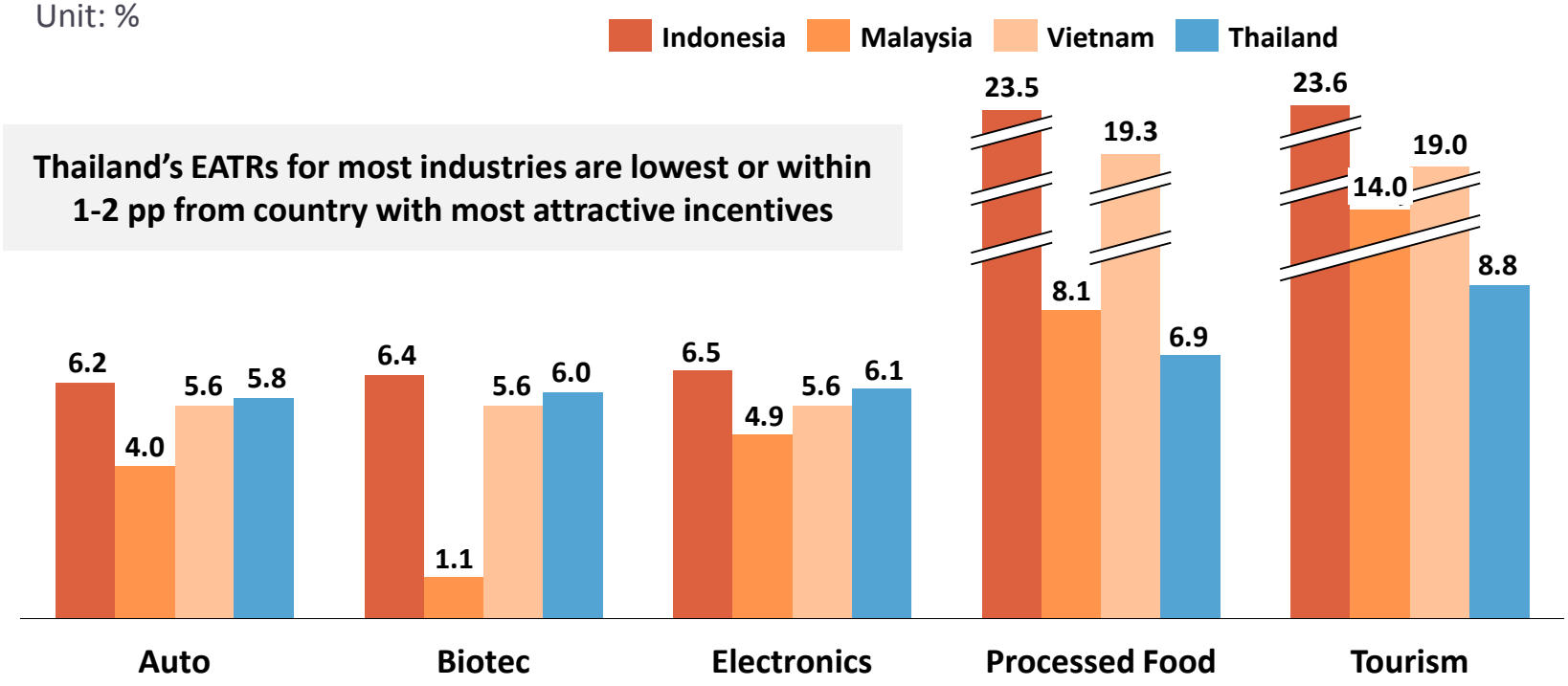
Unit: %



With the exception of targeted incentives for biotec, there is not much need to increase tax or monetary incentives

Source: Author's estimates

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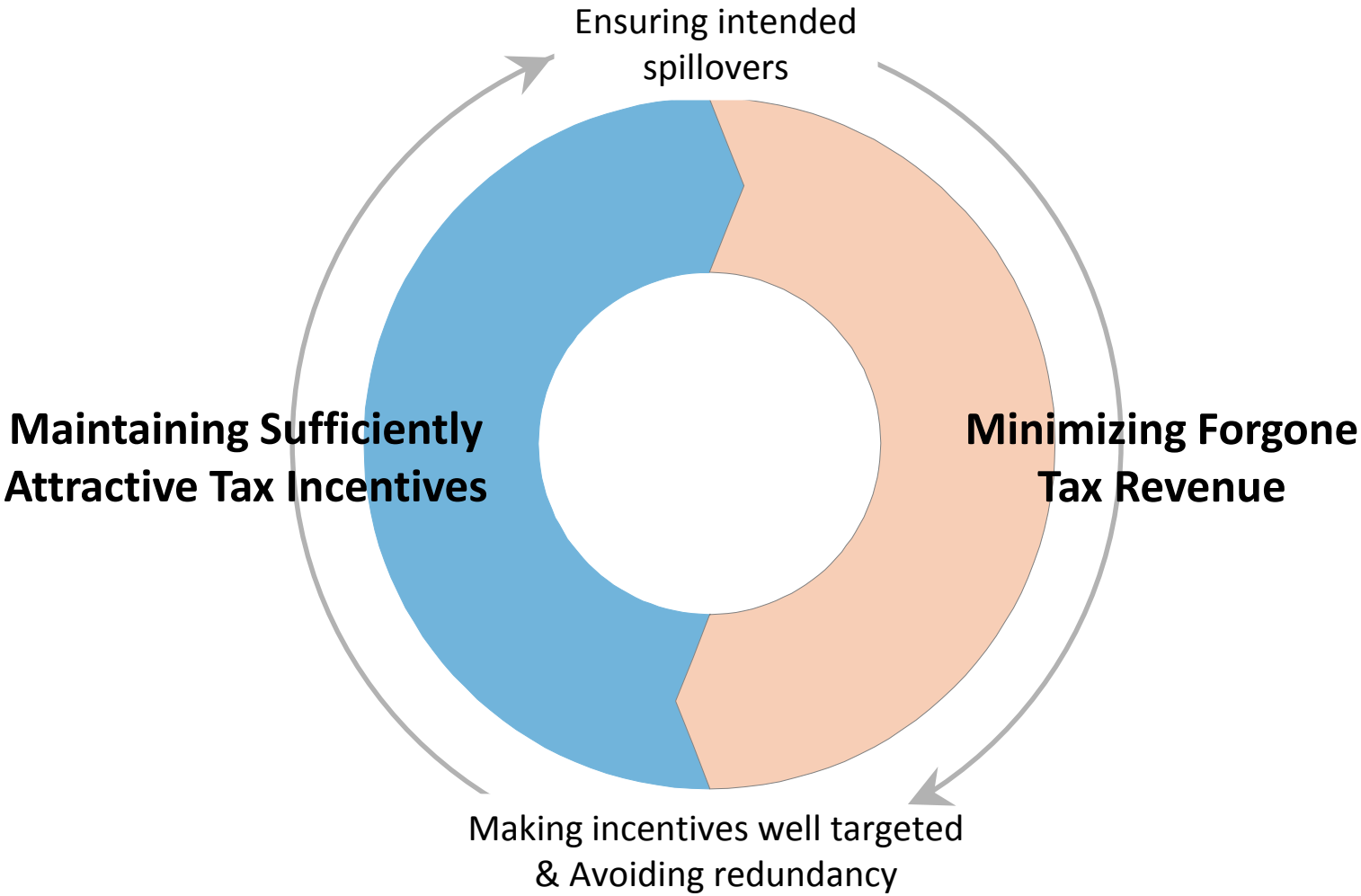
On designing the investment tax incentives, policymaker thus faces an important trade-off



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Is there any sign of redundancy in the tax incentives system?

1. Are they more attractive for foot-loose firms?

2. Do they favor highly profitable firms?

Tax Holiday

vs.

Accelerated Depreciation & ITA

- AD: Raise depreciation rates during 1st year to 40% and 10% for machinery and building
- ITA: Deduct 60% of cost against 70% of income each year until fully utilized

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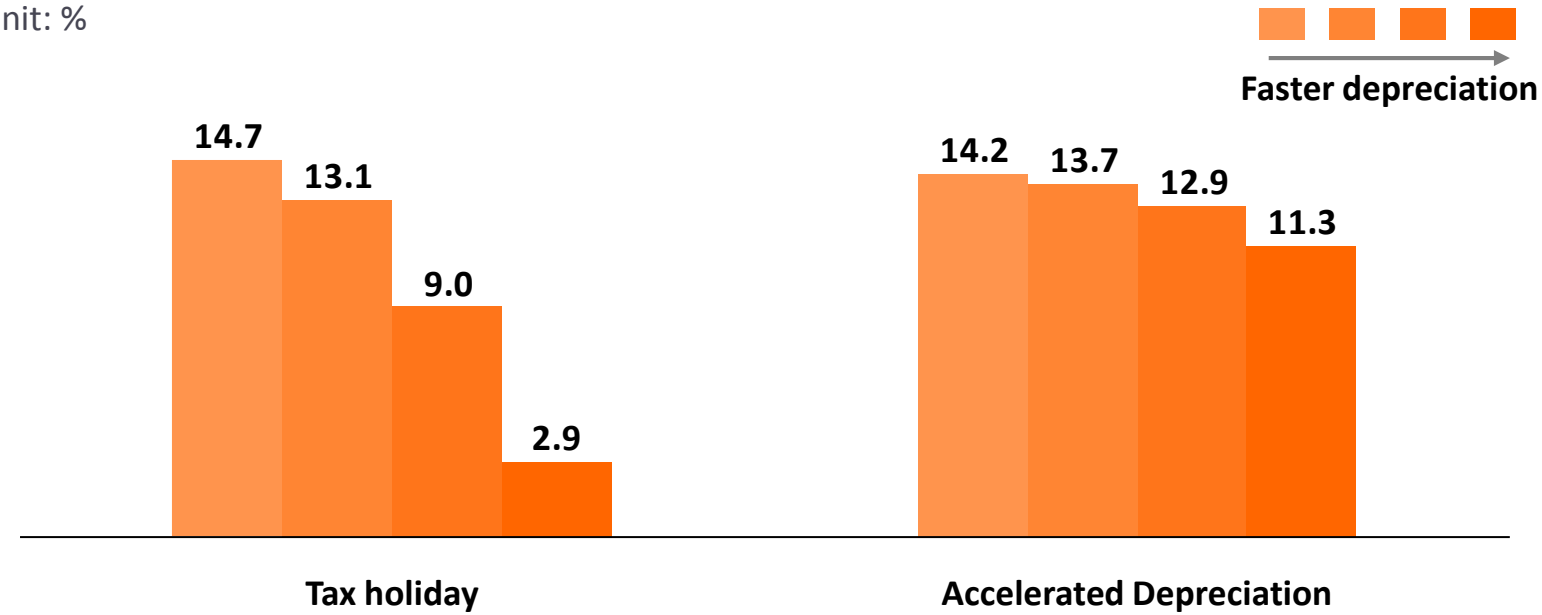
Tax holiday appears to be a poor incentive instrument if the goal is to encourage investment in durable capital

EATR for electronics Industry by depreciation rates, General Incentives vs. Accelerated Depreciation (2016)

Unit: %



With tax holiday, EATR declines significantly as depreciation rates increase

Accelerated depreciation could generate similar EATRs for long-lasting investment

Notes Economic depreciation rates for machinery are 6.3%, 12.5%, 25% and 50%, while the rates for buildings are 1.8%, 3.6%, 7.2% and 14.4%.

Source: Author's estimates

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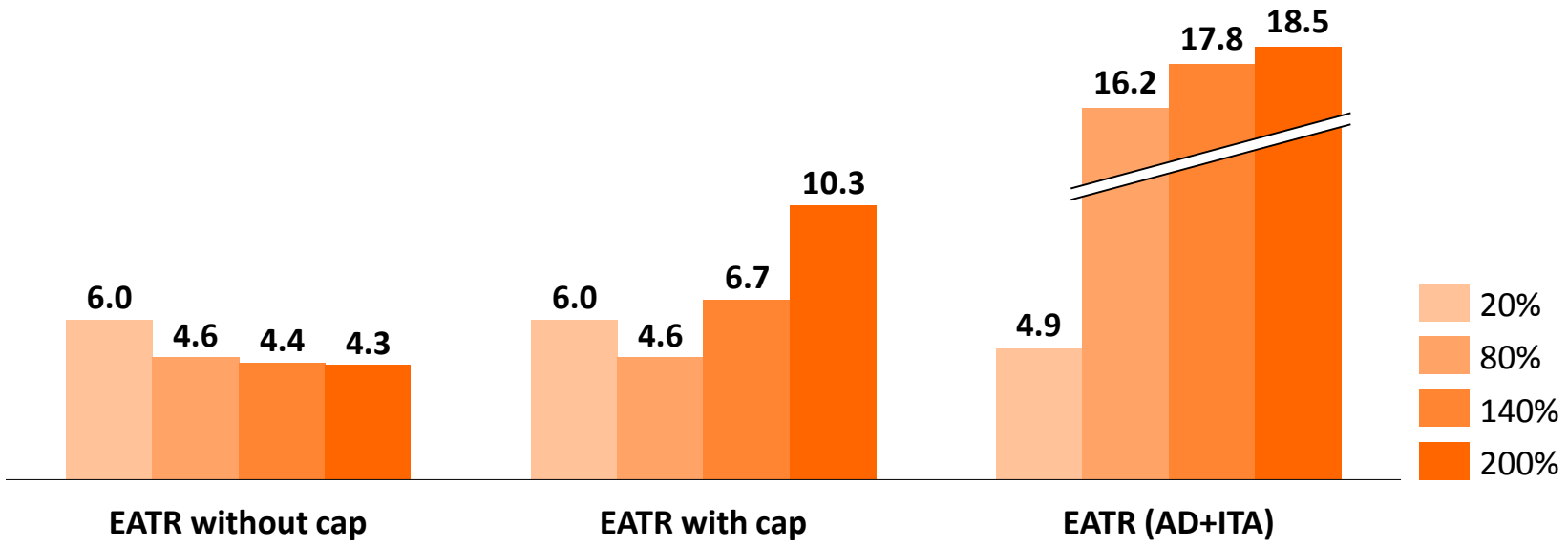
Tax holiday without exemption cap is more beneficial for highly profitable firms

Maximum incentives given to biotec industry (EATR by profit level)

Unit: %



This supports BOI's practice in putting the cap on the tax holiday given to most activities

Source: Author's estimates

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Key Takeaways

1. Thailand's investment incentives are broadly comparable to those in ASEAN4

2. When it comes to minimizing incentive redundancy, tax holiday may not be the best policy option

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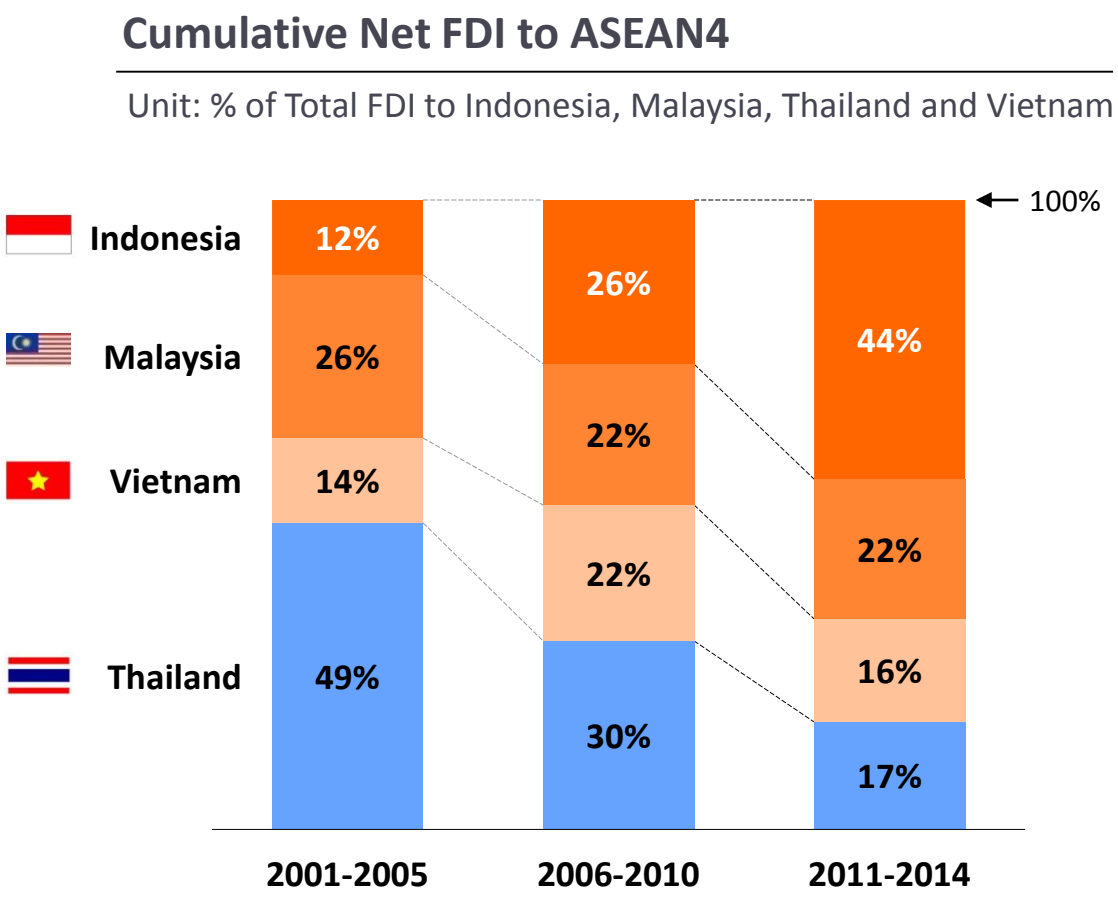
Appendix

FDI has shifted away from Thailand to other ASEAN nations over the previous decade



Note: ASEAN4 = Top 4 ASEAN countries, in term of net FDI inflows (excluding Singapore)
Source: World Bank

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Thailand's targeted industries

Short and Medium Terms	Long Term
▪ Auto ▪ Biotec ▪ Electronics ▪ Processed Food ▪ Tourism	▪ Robot for Industrial Uses ▪ Medicine ▪ Transportation, Logitistics and Airplane Maintenance ▪ Bio-Energy&Bio-Chemical ▪ Digital

Source: "New Engine of Growth" Document by Working Committee on Private Investment Promotion (November 2015)

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EATR Computation Framework (1)

- Suppose a firm invests in period t
- Assume:
  - Long-term investment—the capital stock is disinvested over time through depreciation
  - Equity financing
  - No capital income at the personal income tax level
- The NPV of the investment is then $$R_t = dV_t = \sum_{j=0}^{\infty} \frac{dD_{t+j}}{(1+i)^j}$$
  - where *R* = NPV, *V* = Equity value, *D* = Dividend paid by the firm
- The dividend paid is determined by the flow of funds:

$$D_t = F(K_{t-1}) - I_t$$

  - where $F'(K_{t-1}) = p + \delta$, *p* = the real investment return and δ is the economic depreciation rate.

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EATR Computation Framework (2)

- Pre-tax NPV (R*):

$$R_t^* = -1 + \frac{(1+\pi)(p+\delta)}{(1+i)} \sum_{j=0}^{\infty} \left(\frac{(1+\pi)(1-\delta)}{(1+i)} \right)^j$$

- Under standard treatment,

$$R_t = (1-\tau)(p+\delta) \sum_{j=1}^{\infty} \frac{(1+\pi)^j (1-\delta)^{j-1}}{(1+i)^j} - 1 + A$$

- Under tax holiday,

$$R_t = \sum_{j=1}^{\infty} \frac{(1-\tau_j)(p+\delta)(1+\pi)^j (1-\delta)^{j-1}}{(1+i)^j} - 1 + A; \; \tau_j = \begin{cases} 0 \text{ if } 1 \le j \le Y \\ \tau \text{ if } j > Y \end{cases}$$

- The EATR is then

$$EATR = \frac{R^* - R}{P}$$

  - Where P = NPV of the income stream in the absence of taxes, A = NPV of depreciation allowances, Y = tax holiday duration, r = real interest rate, tau = statutory tax rate

- The computations for other tax schemes follow similar framework but are a little more complicated

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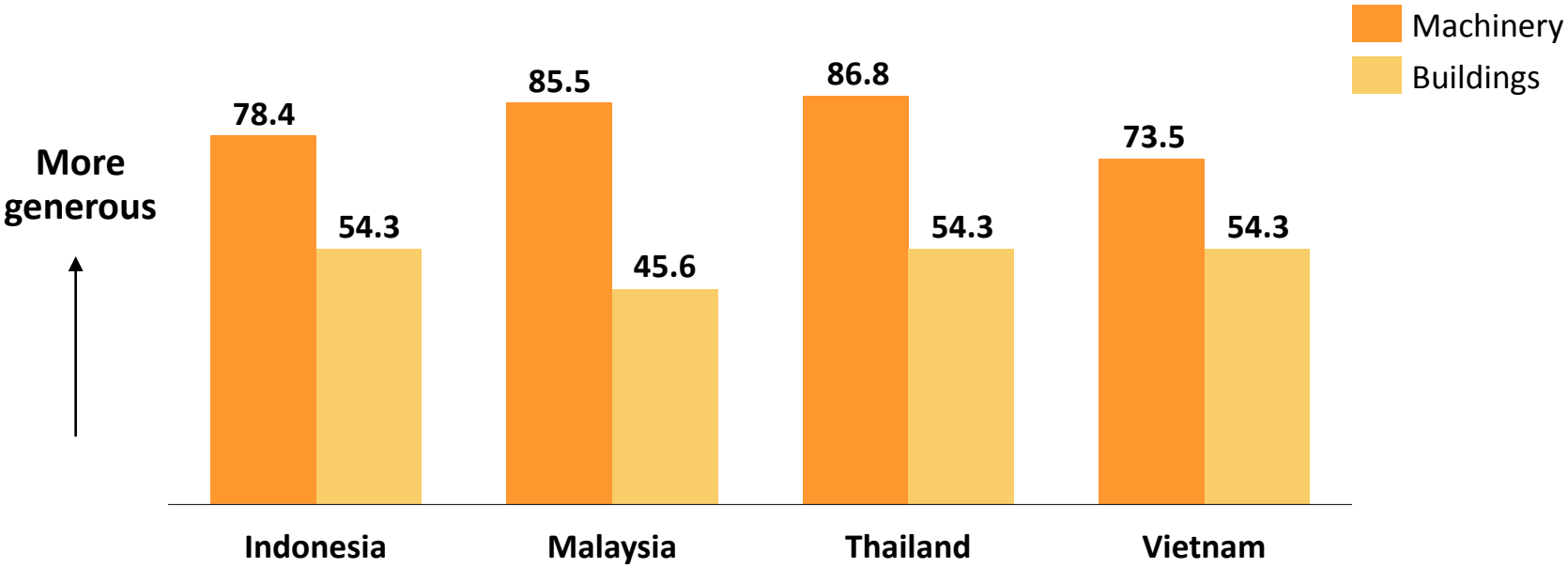
How the standard tax treatment affects investment incentives across assets

Tax generosity with respect to depreciation allowances

Present value of depreciation allowances in percent of total investment cost



The tax generosity under the standard treatment are roughly in line across the region, with Philippines and Thailand being slightly more generous

Source: Author's estimates

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Considering only maximum incentives could be misleading..

- Only a small number of firms may qualify or be willing to fulfill the requirements needed for the maximum incentives

- We also look at 'general' incentives that are:
  - Either incentives applying to typical activities in the respective industry
  - Or the most basic tax holiday or equivalent incentives given to that industry

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Thailand's general incentives across focused industries

	Examples of Qualified Activities	General Incentives
1 Auto	• Manufacturing of auto parts	• 8-year holiday (With cap)
2 Biotec	• Biotec Activities	• 8-year holiday (No cap)
3 Electronics	• General harddrives	• 5-year holiday (With cap)
4 Processed Food	• Food manufacturing	• 5-year holiday (With cap)
5 Tourism	• Hotel (over 100 rooms)	• No tax holiday (only exemption of import duty)

Source: BOI

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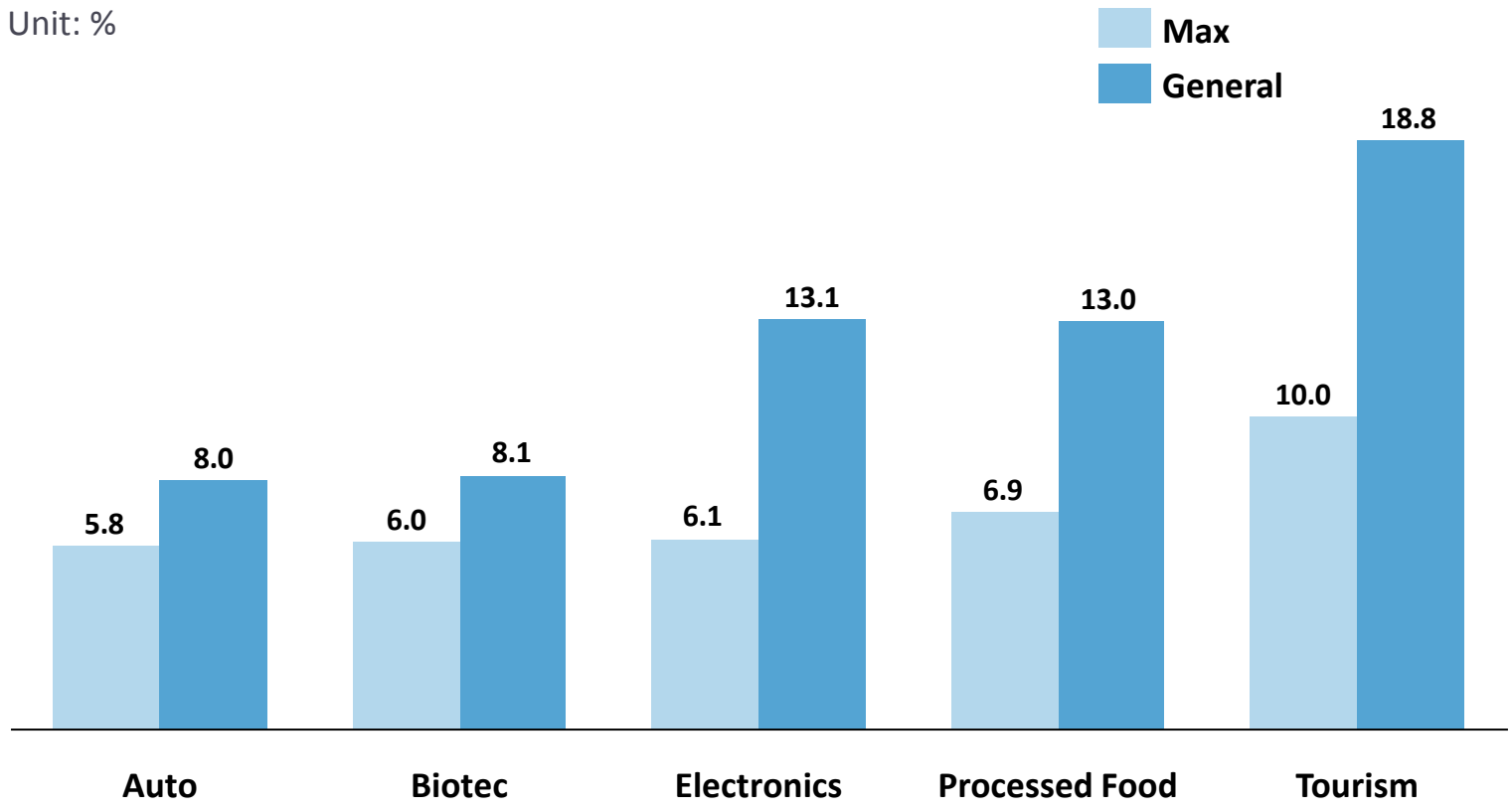
While max incentives are close among industries, general incentives vary substantially

Thailand's EATR on Focused Industries (Max and General Incentives)



Source: Author's estimates

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General tax incentives by industries across ASEAN4

	Indonesia	Malaysia	Thailand	Vietnam
Auto	• Holiday = 5 • Extra 2 years of 50% CIT rate reduction	• 70% Holiday = 5 • Or 60% ITA against 70% of income	• Holiday = 8 (w/ cap)	• Holiday = 4 • Years 5-9: tax 5% • Years 10-15: tax 10%
Biotec	• Holiday = 5 • Extra 2 years of 50% CIT rate reduction	• Holiday = 10 • Or 100% ITA	• Holiday = 8 (w/o cap)	• Holiday = 4 • Years 5-9: tax 5% • Years 10-15: tax 10%
Electronics	• Holiday = 5 • Extra 2 years of 50% CIT rate reduction	• 70% Holiday = 5 • Or 60% ITA against 70% of income	• Holiday = 5 (w/ cap)	• Holiday = 4 • Years 5-9: tax 5% • Years 10-15: tax 10%
Processed Food	• Not Prioritized • Standard treatment applies	• 70% Holiday = 5 • Or 60% ITA against 70% of income	• Holiday = 5 (w/ cap)	• Not Prioritized • Standard treatment applies
Tourism	• Not Prioritized • Standard treatment applies	• 70% Holiday = 5 • Or 60% ITA against 70% of income	• No tax holiday • Only exemption of import duty	• Not Prioritized • Standard treatment applies

Source: PWC, Deloitte and documents from national tax authorities

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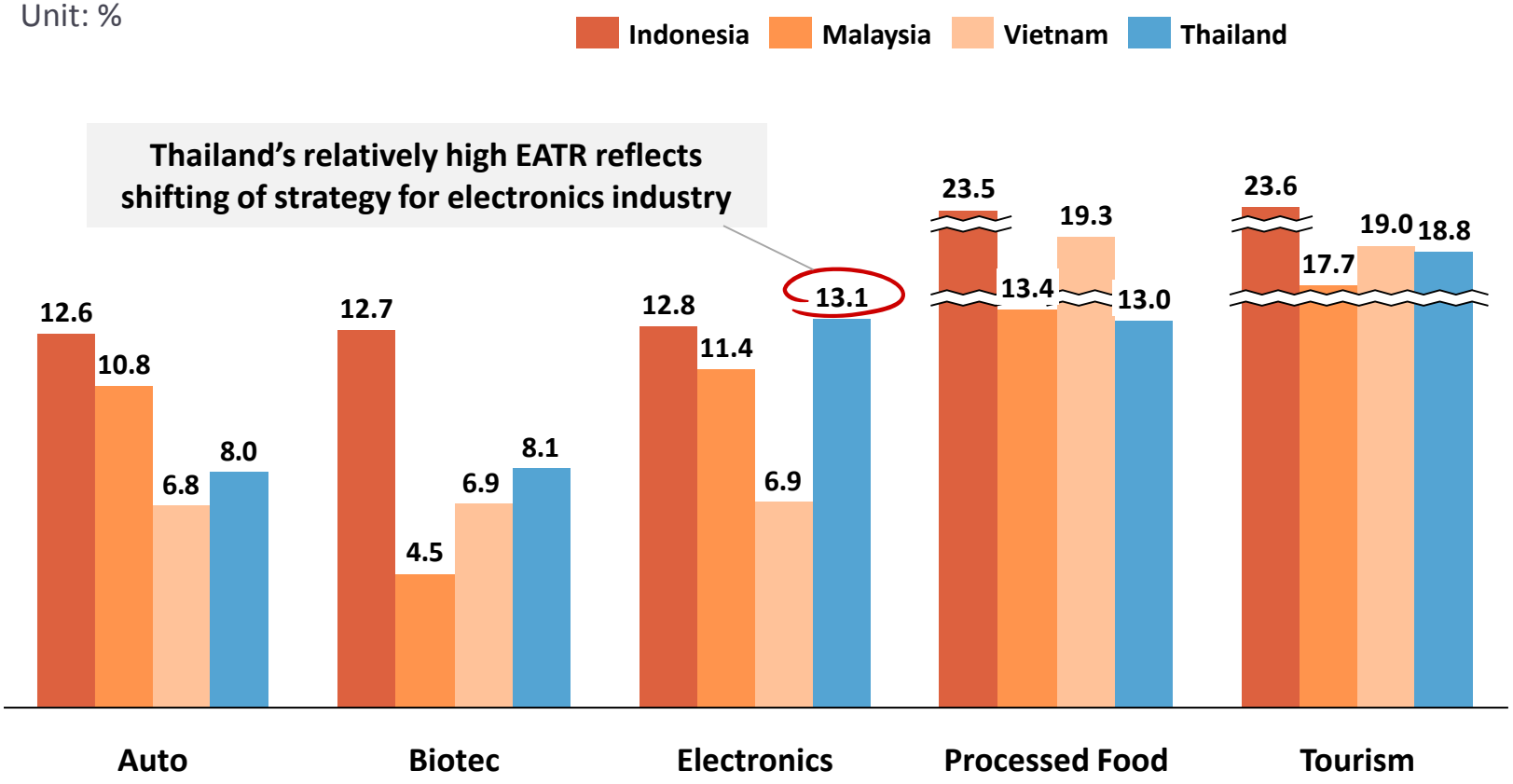
Thailand's competitiveness picture is consistent with that under maximum incentives

General tax incentives Across ASEAN4 (EATR; 2016)

Unit: %



Source: Author's estimates

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Thailand's New Activity-Based Tax Incentives

	Basic Tax Holiday	Merit-Based incentives		
		Competitiveness	Decentralization	Industrial Area
A1	• 8-year holiday (No cap)	• N/A	• Extra 5 years of 50% rate reduction	• N/A
A2	• 8-year holiday (With cap)	• N/A	• Extra 5 years of 50% rate reduction	• N/A
A3	• 5-year holiday (With cap)	• Extra 3-year holiday	• Extra 3-year holiday	• Extra 1-year holiday
A4	• 3-year holiday (With cap)	• Extra 3-year holiday	• Extra 3-year holiday	• Extra 1-year holiday
B1	• N/A	• Extra 3-year holiday	• Extra 3-year holiday	• Extra 1-year holiday
B2	• N/A	• Extra 3-year holiday	• Extra 3-year holiday	• Extra 1-year holiday

Notes: Maximum tax holiday cannot exceed 8 years.
'With Cap' means total tax exemption is limited at total investment cost
Source: BOI

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Thailand has recently changed its approach to giving the tax incentives

Key changes are:

- Abolish the zone-based incentives
- Focus the incentives mainly on activities
- Eligible activities are now divided into 6 groups
  - Max Incentives = 8-year holiday (without cap) + 5 years of 50% tax rate reduction
- Three types of merit-based incentives: 1) Competitiveness enhancement, 2) Decentralization, and 3) Industrial area development

On top of the activity-based system:

- 5 Special Economic Zones (SEZs) with max incentives = 8-year holiday (without cap) + 5 years of 50% tax rate reduction

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Thailand's Tax Incentives under the Special Economic Zones Measure

- Ten provinces in the border areas:
  - First Phase: Tak, Mukdahan, Sakaeo, Trat and Songkhla
  - Second Phase: Chiang Rai, Nong Khai, Nakhon Phanom, Kanchana Buri and Narathaiwat

Examples of Targeted Activities	Tax Incentives
▪ Processed food, ▪ Textile, ▪ Medicine, ▪ Auto, ▪ Electronics, ▪ Plastics, ▪ Logistics, ▪ Tourism	For targeted activities: ▪ 8-year tax holiday with cap ▪ Extra 5 years of 50% tax rate reduction For general activities ▪ Additional tax holiday period of 3 years (not exceeding 8 years)

Source: BOI

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